

HS 523: Decision-Making for Social Change

Course Code	HS 523
Course Name	Decision-Making for Social Change
L-T-P-C	3-0-0-3
Prerequisites	None
Intended for	M.A. Development Studies/M.S./Ph.D./B. Tech. students
Distribution	Discipline Elective for M.A. Development Studies/ HSS Free Elective for B. Tech. students/Free Elective for other students
Approval	27th BoA (Nov 2018); 19th Senate (Feb 2019)

Course Contents

- **Mental Models, System Thinking, and Probability Judgments** Introduction to system thinking, introduction to mental models, confirmation bias, identifying and improving mental models, linear models of judgement, fast-and-frugal heuristics, representativeness heuristic, availability heuristic, support theory, judgment of condition probability, anchoring-and-adjustments in judgements. [6 Lectures]
- **Decision-making under Risk and Cognitive Biases** Expected-utility theory, prospect theory, framing and framing effect, decisions under uncertainty, endowment effect, status-quo bias, omission bias, sunk-cost effect, single-action bias, finite pool of worry, fundamental computational bias, single action bias, intuitive versus reflective judgements. [6 Lectures]
- **Judgments involving Time and Group Decision Making** Theory of time preference, reasons for time preferences, inter-temporal choices, hyperbolic discounting, information sharing in groups, group polarization, group think, techniques for improving group decision-making: brainstorming, decision rules, systematic decision procedures, leadership. [6 Lectures]
- **Dynamic and Naturalistic Decision Making** Use of microworld games, feedback, feedback delays, instance-based learning, individual differences in DDM, nature of naturalistic decision making, image theory, recognition-primed decision-making. [6 Lectures]
- **Perception of Risk** (6 hours) Revealed preference approach to risk, risk dimensions, factors underlying risk dimensions, affective influence on risk, social amplification of risk, influence of personality on risk, influence of gender on risk, influence of race on risk, expert versus lay perception of risk, risk communication. [6 Lectures]
- **Optimism, Confidence, and Nudges** Overconfidence, calibration curves, cross-cultural differences, case study on investment behavior, introduction to nudges, nudging over time, influence, nudging in the real world. [6 Lectures]
- **Social Dilemmas and Environmental Decision Making** Introduction to social dilemmas, prisoner's dilemma, tragedy of commons, public goods, factors affecting social dilemmas, environmental biases - reliance on correlation heuristics and violation of mass balance, factors affecting correlation heuristic and violation of mass balance (backgrounds, type of feedback). [6 Lectures]

Text Books

1. Hardman, D., & Hardman, D. K. (2009). Judgment and decision making: Psychological perspectives (Vol. 11). John Wiley & Sons.
2. Kim, N. (2017). Judgment and Decision-making: In the Lab and the World. Macmillan International Higher Education.

References

1. Bazerman, M.H. and Moore, D.A., **Judgment in Managerial Decision Making**, 7th Edition, Wiley, 2008.
2. Fischhoff, B., **Judgment and Decision Making**, Routledge, 2012.
3. Hastie, R., & Dawes, R. M., **Rational choice in an uncertain world: The psychology of judgment and decision making**, Sage, 2010.
4. Pious, S., **The psychology of judgment and decision making**, McGraw-Hill Book Company, 1993.
5. Shome, D., Marx, S., Appelt, K., Arora, P., Balstad, R., Broad, K., et al., **The psychology of climate change communication: a guide for scientists, journalists, educators, political aides, and the interested public**, Center for Research on Environmental Decisions, 2009.